

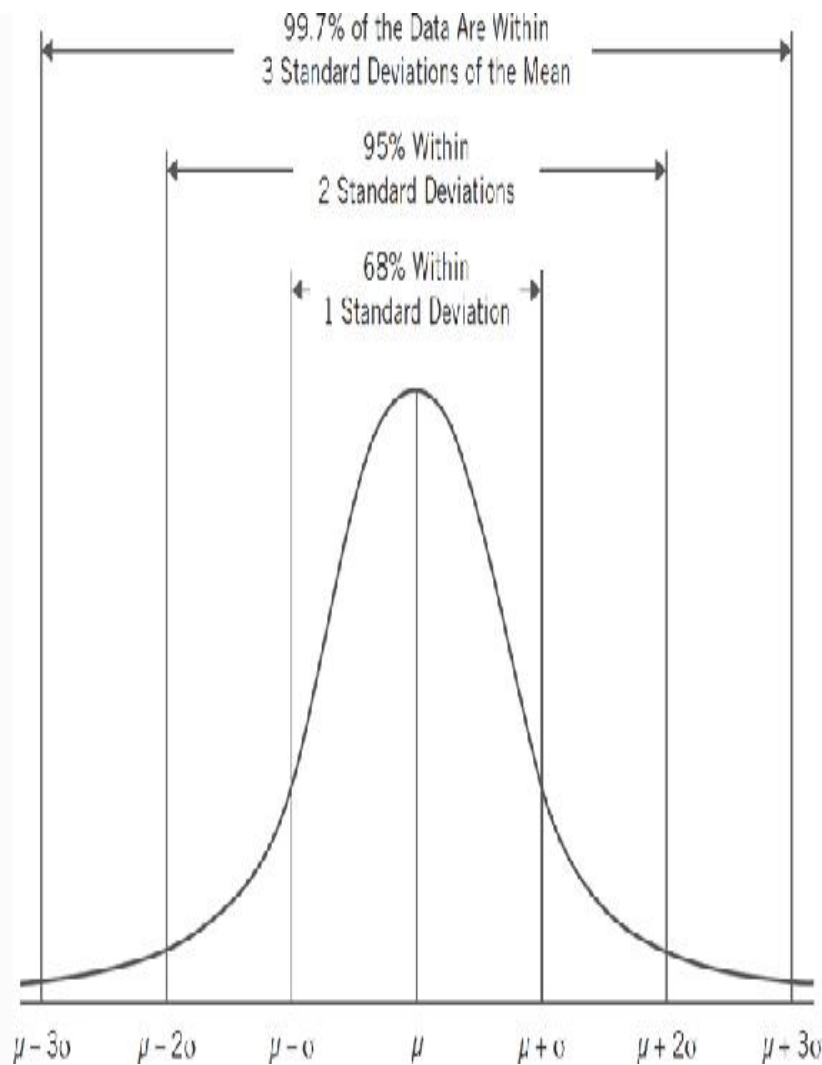


Figure 6.1 ■ A standard deviation bell curve

Source: <https://www.spcforexcel.com/files/images/nd.gif>

For example, take a stock that has an expected return (mean) of 7 percent and a 5 percent standard deviation of expected returns. There is a 68 percent probability that this stock will yield returns between 2 and 12 percent in the upcoming year. With a less aggressive asset, say a bond that has an expected return of 4 percent and standard deviation of 1 percent, then 68 percent of the time it can be expected to yield